Diageo PLC (DGE.L) — Equity Research Note

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Recommendation

HOLD / BUY on recovery — target price £17.43 vs current £16.65, implying 4.7% upside over a 12–18 month horizon.

Rating	Target Price	Current Price	Upside	Horizon
HOLD / BUY on recovery	£17.43	£16.65	+4.7%	12–18 months

Company Snapshot

Diageo plc is the world's largest premium spirits producer, with brands including Johnnie Walker, Guinness, Smirnoff, Tanqueray, and Captain Morgan. FY25 revenue of $20.2bn across 180+ countries, headquartered in London. Market cap £35.9bn / enterprise value $67.4bn. The company is currently mid-restructuring under its "Accelerate" cost programme, targeting ~$625m in savings over three years and $3bn+ free cash flow annually from FY26.

Investment Thesis

1. **Margin recovery is the central call.** FY25 EBIT margin collapsed to 21.4% (vs 29.6% FY24) due to Moët Hennessy impairments and tariff pressure. DCF assumes margins recover to 29.5% by FY30 as Accelerate delivers.
2. **US and China weakness is cyclical, not structural.** H1 FY26 organic sales down 2.8% — comps ease materially in H2 FY26, with easier US spirits bases and lapping of China white spirits collapse.
3. **Valuation support at trough.** Trading near 52-week lows (£16.65 vs 52w high £21.42). Dividend yield ~3%. Downside limited even in bearish WACC/growth scenarios (sensitivity shows worst case £14).

Key Risks

1. **GLP-1 drugs and premiumisation reversal** — structural demand destruction could compress long-term volumes beyond cyclical weakness.
2. **Accelerate execution risk** — new CEO integration plus ambitious cost targets; historic consumer staples turnarounds often take longer than guided.
3. **Terminal value dominance** — Terminal Value = 81% of enterprise value. Small WACC or terminal growth changes materially shift the target price (sensitivity range £13–£30).

Valuation Summary

Method	Target Price (£)	Weight
DCF (5-year explicit forecast + TV)	£19.89	50%
Comps — EV/EBITDA (peer median 9.88x)	£13.46	25%
Comps — EV/Revenue (peer median 3.37x)	£16.47	25%
Blended Target	**£17.43**	100%
Current share price	£16.65	—
Upside	**+4.7%**	—

DCF (19% upside) and Comps (−10% to +1%) disagree. The 25% spread represents the market's doubt about Accelerate delivery. BUY if you believe management executes; HOLD if neutral.

Key DCF Assumptions

Input	Value	Rationale
WACC	7.26%	Rf 4.5% + 0.8β × 5.5% ERP; 67.5/32.5 equity/debt weighting
Terminal growth	2.25%	Below UK long-run GDP; mature spirits market
Revenue growth FY26	−1%	H1 FY26 already −2.8% organic; modest H2 recovery
Revenue growth FY27–FY30	2% → 4% → 4% → 3.5%	Accelerate + sector normalisation
EBIT margin FY26 → FY30	22% → 29.5%	Accelerate savings offset by reinvestment
Capex % of revenue	7%	5-year average, elevated for aging whisky stocks
Effective tax rate	23%	UK 25% blended with international mix

FCF Forecast (USD millions)

Line item	FY26	FY27	FY28	FY29	FY30
Revenue	20,043	20,443	21,261	22,112	22,885
EBIT	4,409	5,111	5,847	6,412	6,751
NOPAT	3,395	3,935	4,502	4,938	5,198
D&A	902	920	957	995	1,030
Capex	(1,403)	(1,431)	(1,488)	(1,548)	(1,602)
ΔWC	(200)	(204)	(213)	(221)	(229)
FCF	**2,694**	**3,220**	**3,758**	**4,164**	**4,397**

FCF growth from $2.7bn to $4.4bn over five years is driven primarily by EBIT margin recovery from 22% to 29.5%.

Sensitivity Analysis — Target Price (£)

Target share price under combinations of WACC (across) and terminal growth rate (down). Base case £19.89 at WACC 7.26% / g 2.25%.

Terminal g ↓ \ WACC →	6.25%	6.75%	7.26%	7.75%	8.25%
1.75%	£22.80	£20.00	£17.60	£15.70	£14.00
2.00%	£24.20	£21.10	£18.50	£16.40	£14.60
2.25%	£25.80	£22.30	**£19.89**	£17.20	£15.30
2.50%	£27.60	£23.70	£20.90	£18.10	£16.00
2.75%	£29.70	£25.30	£22.00	£19.00	£16.80

Downside limited to £14 even at pessimistic WACC 8.25% / g 1.75%; upside caps at £30 in a bull-case WACC 6.25% / g 2.75%.

Comparable Companies Analysis

Company	Mkt Cap ($bn)	EV ($bn)	Revenue ($bn)	EBITDA ($bn)	EV/Rev	EV/EBITDA	P/E
Pernod Ricard	15.27	25.94	9.40	2.62	2.76x	9.88x	12.72x
Brown-Forman	12.12	14.26	3.92	1.19	3.64x	13.08x	16.96x
Constellation Brands	19.91	30.34	9.21	3.43	3.37x	9.29x	11.20x
Median (peers)	—	—	—	—	**3.37x**	**9.88x**	**12.72x**
Diageo	45.5	67.4	20.25	6.05	3.33x	11.14x	14.25x (fwd)

Diageo trades at a modest premium to peers on EV/EBITDA, in line on EV/Revenue. Premium is justified by scale and brand portfolio. Diageo's trailing P/E (30.5x) is distorted by FY25 Moët Hennessy impairment — forward P/E of 14.25x is the right comparison.

Sources

- Diageo Annual Reports FY21–FY25 — diageo.com/investors
- Diageo H1 FY26 interim results — SEC EDGAR 6-K filing
- UK 10Y Gilt yield — Bank of England
- Equity Risk Premium — Damodaran UK (NYU Stern)
- Share price data — London Stock Exchange, as at 20 October 2026
- Peer financial data — stockanalysis.com

Disclaimer

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